

There Ain't No Such Thing as a Free Lunch (TANSTAAFL).

Reward is a function of assumed risk.

It's one thing to recognize how greatly the odds are stacked against you when buying a lottery ticket; it is something else entirely to think that a risk-free investment is going to generate lottery-like gains.

Compare this Ponzi scheme to those 2000s-era MBSs—they were a legitimate investment, but one where the risk was hidden by aggressive sales and discounted by buyers in the then new era of ultralow rates. Securitized junk mortgages were legal but awful investments, a poor alignment of risks relative to reward. Some of us knew they would eventually blow up, but *good luck* convincing people with dollar signs in their eyes that the risk/reward ratio was stacked against them.

Greed makes people confuse *risk-free returns* with *return-free risks*.

One day, we might implant computer chips in people's heads that will alert them to obvious indicia of fraud. But until that day, human nature will remain forever vulnerable to those who would manipulate you for monetary advantage. If you are aware of what these things look like, you stand a fair chance of avoiding the worst of them.



How well do top-ranked college endowments, with their brilliant finance professors and insightful investment research, perform as investors? (Not very well.) You will be surprised which schools earned an “F.”

[288](#) See: “For the love of money is a root of all kinds of evil” (1 Timothy 6:10) and “You cannot serve both God and money” (Matthew 6:24).

[289](#) Lizzie Johnson, “An alleged \$500 million Ponzi scheme preyed on Mormons. It ended with FBI gunfire,” *The Washington Post* (February 1, 2023).

[290](#) Barry Ritholtz, “Navigating Financial Disasters (Updated),” *The Big Picture* (August 22, 2024).